5. INCOME TAXES

The income tax expense (benefit) consists of:

	2002	2001	2000
Current:			
Federal	$ 440,000	$ 8,000	$ -
State	68,000	13,000	4,000
	508,000	21,000	4,000
Deferred:			
Federal	609,000	40,000	(410,000)
State	90,000	6,000	(50,000)
	699,000	46,000	(460,000)
Total	$1,207,000	$ 67,000	$ (456,000)

The difference between tax computed at the statutory federal income tax rate and the Company's effective tax rate is as follows:

	2002	2001	2000
Expense (benefit) at statutory rate	$ 990,000	$ 489,000	$ (387,000)
State and other taxes--net of federal tax benefit	104,000	12,000	(36,000)
Items not deductible	66,000	198,000	7,000
Change in valuation allowance	(60,000)	(647,000)	(80,000)
Other	107,000	15,000	40,000
Income tax expense (benefit)	$ 1,207,000	$ 67,000	$ (456,000)

As of December 31, 2002, the Company has utilized its federal net operating loss carryforwards. The Company has an alternative minimum tax (AMT) credit carryforward of $49,000 which will never expire. The Company has approximately $1,262,000 of net operating loss carryforwards available for New York State tax purposes, which begin to expire in 2011.

Components of the Company's deferred income tax asset (liability) as of December 31, 2002 and 2001 are as follows:

	2002	
	CURRENT	NONCURRENT
ASSETS		
Non-deductible bad debt reserves	$ 206,000	$ -
Inventory	91,000	
Other accruals		109,000
Net operating loss carryforwards		4,000
Compensation		52,000
AMT credit carryforward		49,000
Charitable contribution		110,000

LIABILITIES		
Installment sale gain		(689,000)
Pension		(204,000)
Depreciation		(431,000)
Deferred income tax asset (liability)	$ 297,000	$(1,000,000)

	2001	
	CURRENT	NONCURRENT
ASSETS		
Non-deductible bad debt reserves	$573,000	$ -
Inventory	65,000	
Other accruals	19,000	
Net operating loss carryforwards		959,000
Compensation		55,000
AMT credit carryforward		57,000
Charitable contribution		213,000
LIABILITIES		
Installment sale gain		(551,000)
Pension		(786,000)
Depreciation		(548,000)
Valuation allowance	(20,000)	(40,000)
Deferred income tax asset (liability)	$637,000	$(641,000)